

Fearnleys Dry Bulk Weekly

Feb 26, 2025

Bernhard Baardson

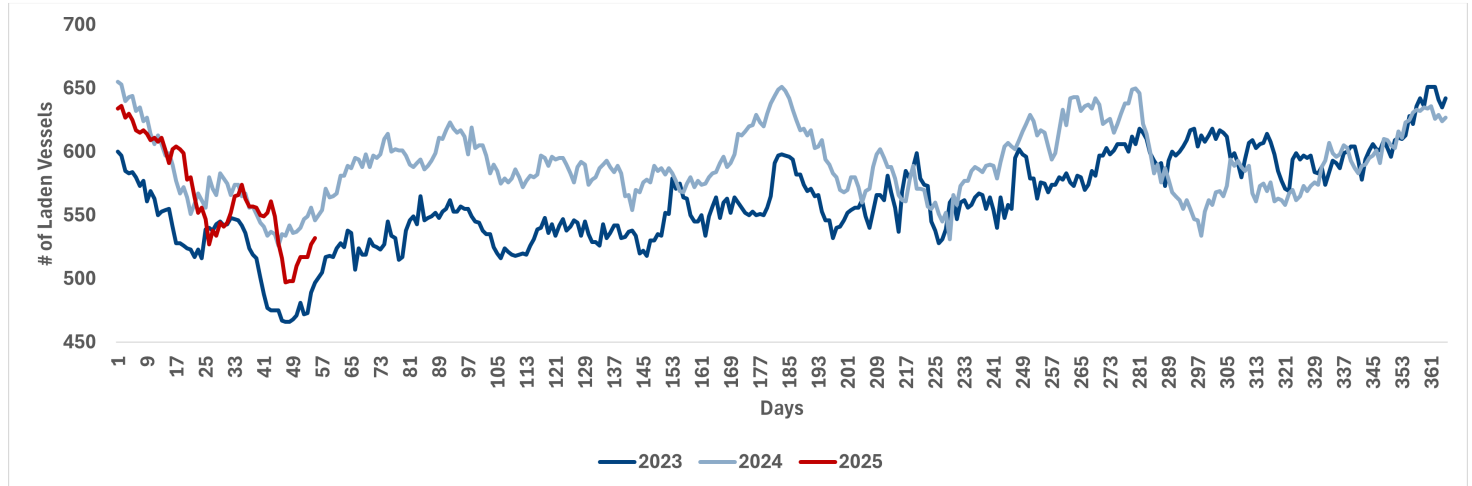
Capesize/Newcastlemax

Last week we wrote the following:

We could be at the start of a rally here, with both C3 and C5 noticeably up. AIS data still looks supportive of a rally, which we have covered in previous reports (report archive found at the bottom of the online version of this report).

Probably there will be a couple of strong months ahead for the market. However, fundamentals are weaker than last year, not only for Capes/Newcs but also for Panamax/Kamsarmaxes. It is therefore unlikely that market levels will average as high as last year (BCI 2014 avg 25.500 USD pd in March and April 2024).

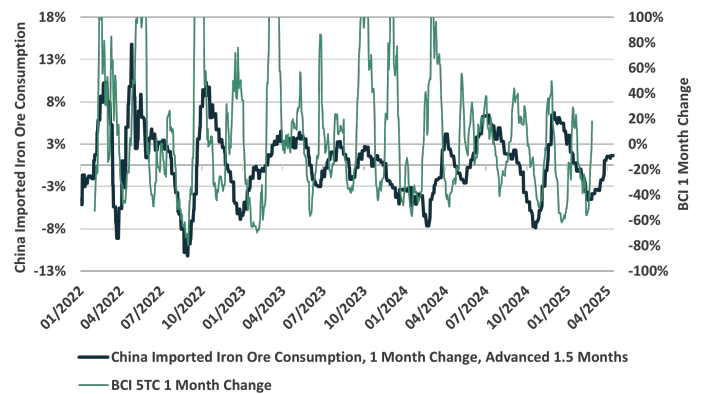
Laden Capesize/Newcastlemax, by Year



VLOCs Waiting to Load in Brazil



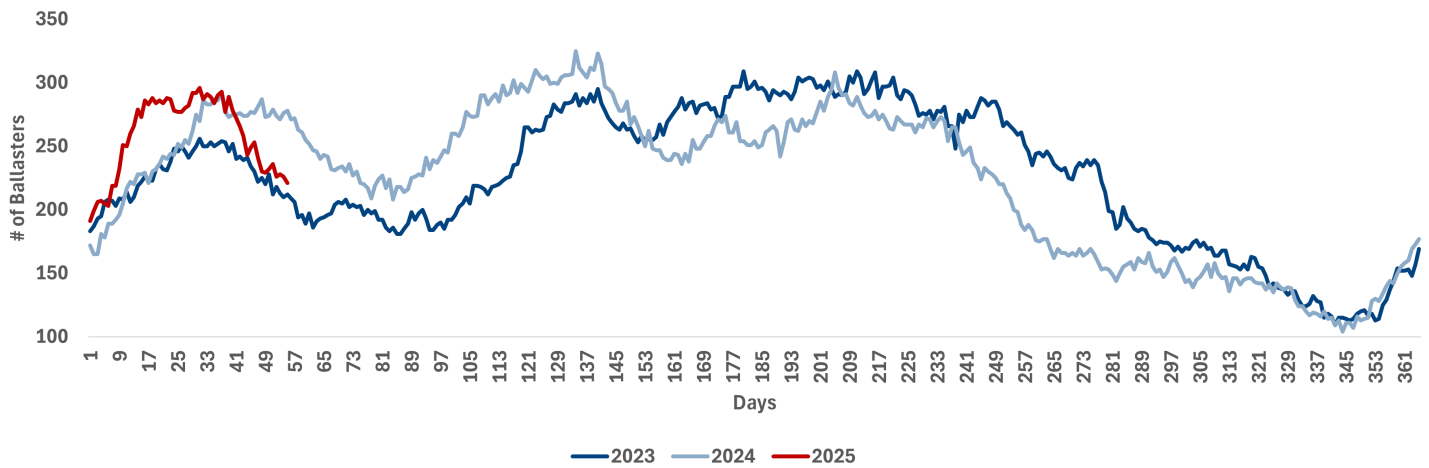
China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



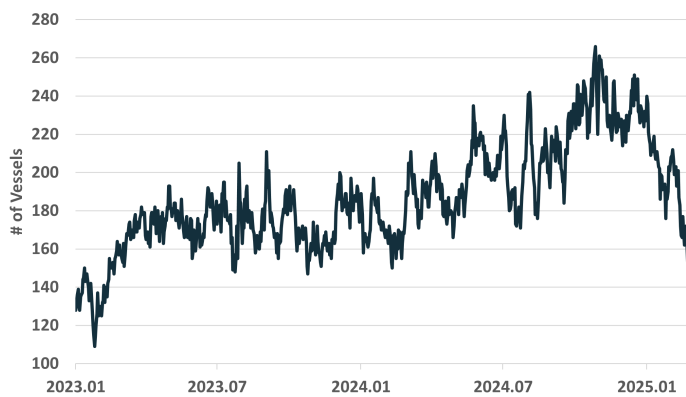
Panamax/Kamsarmax

Average seasonality suggests the 5TC index could be on the way to around 13kpd by mid-March. As pointed to in this report the last weeks, fundamentals have been weighed down by weaker Pac coal markets (China and India imports negative yoy), a weak North Atlantic, and delays to the Brazilian Soybean harvest. So, it could be a bumpy road toward a seasonal spring peak in March. Also, reaching the same levels as last year is unlikely.

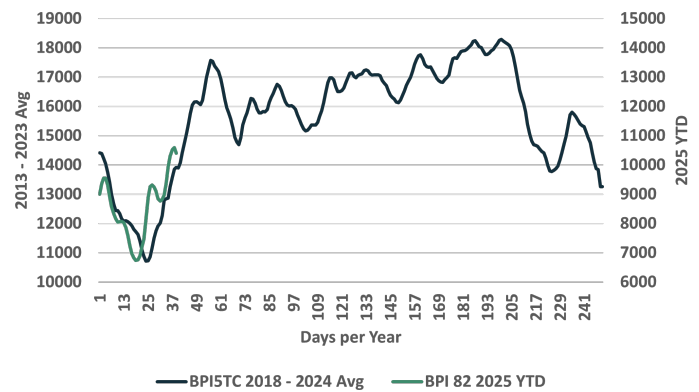
Panamax / Kamsarmax Ballasting to Brazil or Argentina, by Year



Panamax / Kamsarmax Laden With Coal to China or India



Kamsarmax Market Seasonality



Supramax/Ultramax

Last week we wrote the following:

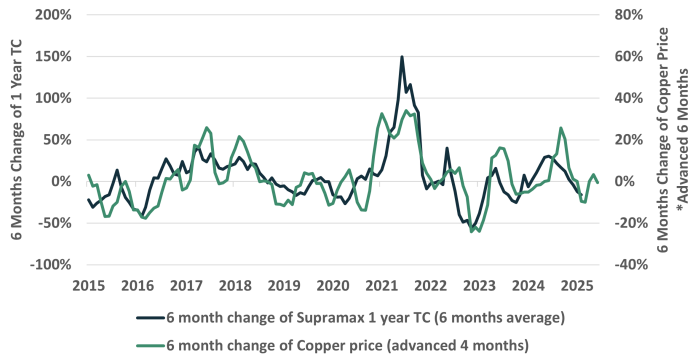
Like in the Panamax/Kamsarmax segment, the market keeps tracking average seasonality closely despite the downside risks (primarily related to Pacific coal markets). The Ultramax spot index will peak at between 13.000 - 14.000 USD pd in mid-March should seasonality continue to be tracked closely.

FFAs are already pricing in this move, which could mean the curve will stop the upward move here.

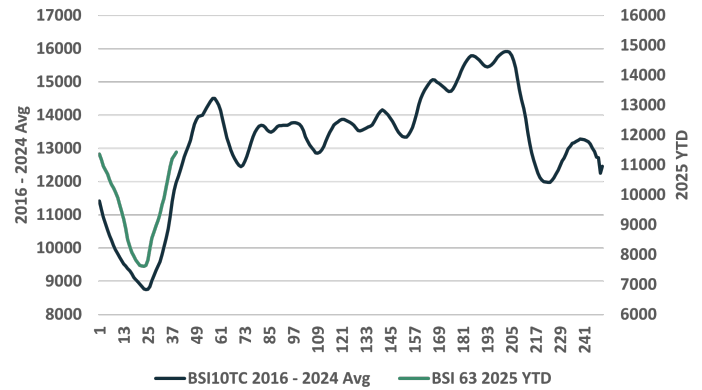
The curve did indeed take a breather. Until the middle of March when the seasonal spring peak usually occurs, there is likely to be a choppy sideways movement of the FFA curve.



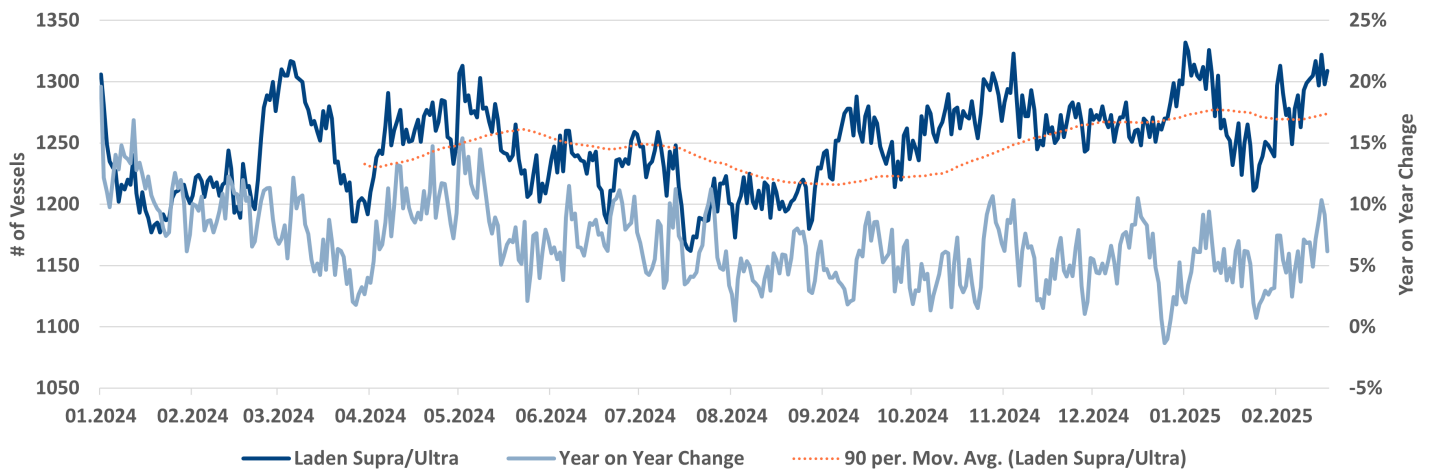
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Market Seasonality



Laden Supramax/Ultramax Vessels, and Year on Year Change





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